FLOAT FINANCIAL | INVESTMENT COMMITTEE MEMO

Canadian fintech • Private / Series C • 8 November 2026 • Independent public-information research

RECOMMENDATION | FURTHER DUE DILIGENCE — DO NOT COMMIT AT ASSUMED ENTRY PRICE

Investment view. Float offers an integrated Canadian platform for corporate cards, spend controls, payments, CAD/USD accounts and finance automation. Customer traction and cross-sell support an attractive growth thesis, but undisclosed revenue, unit economics and credit-loss allocation prevent a defensible positive underwriting decision. [1–3]

BUSINESS QUALITY & MARKET

Traction: Float reports 10,000+ customers currently, with 30%+ using multiple products; its 2025 review reported $3B annualized payment volume at year-end 2025 (currency not specified). These are company-reported metrics, not revenue. [1,2]

Market sizing: ISED counts 1,096,141 Canadian employer businesses with 1–499 employees (Dec. 2024). Illustrative TAM = 1,096,141 × CA$600/year = CA$657.7M. Narrow SAM = 446,361 firms with 5–499 employees × 35% assumed fit × CA$1,200/year = CA$187.5M. The 35% fit and monetization inputs are unvalidated analyst assumptions, not company guidance. This SAM excludes potentially material enterprise, microbusiness and higher-wallet-share opportunities; it is not a revenue ceiling. [4]

COMPETITIVE POSITION & RISKS

Potential edge: Canada-specific workflows, consolidated financial products and integration-driven switching costs. Principal threats: Ramp's Canadian expansion, Loop/Venn, incumbent banks; plus customer acquisition pressure, partner-bank/funding dependence, fraud/compliance exposure and charge-card credit losses. Float announced nearly CA$100M of debt facilities in January 2026; these are not equity proceeds. [3,5]

VALUATION & FIVE-YEAR RETURN SENSITIVITY

June 2026 Series C: CA$85M equity; press reporting places post-money equity value at approximately CA$548M (not independently confirmed by a cap table). Float has not disclosed absolute revenue, margins or profitability for 2026. [6,7]

CASE	2031 revenue*	Exit multiple*	Exit equity value*	Gross MOIC*	5-yr IRR*
Bear	CA$38.8M	3×	CA$116.5M	0.17×	−29.8%
Base	CA$87.4M	8×	CA$699.0M	1.02×	+0.4%
Bull	CA$183.7M	15×	CA$2,755M	4.02×	+32.1%

*Entire forecast is illustrative, not Float guidance. Starts from CA$18.6M hypothetical end-2026 annualized revenue (transaction/paid-software sensitivity, not reported revenue); uses annual growth assumptions from Steps 1–6, a CA$548M assumed entry equity value, 20% future ownership dilution and five years to exit. MOIC = exit equity value / entry equity value × 80%; IRR = MOIC^(1/5) − 1. Assumes comparable equity values, no preferences, net-debt adjustments, follow-on funding or fees.

Return hurdle: A 3× gross return with 20% dilution requires approximately CA$2.06B exit equity value, or CA$257M 2031 revenue at 8×—above the narrow CA$187.5M SAM. This tension requires validation of customer wallet share and market scope, not an unsupported TAM increase.

INVESTMENT GATES

Before investment: obtain audited/management revenue and margin data; reconcile payment volume to retained transaction revenue; review CAC, cohort retention and multi-product ARPU; inspect credit vintages, loss-sharing contracts, funding covenants and liquidity; verify fully diluted cap table, liquidation preferences and entry valuation. Decision changes only if verified economics support a credible 3×+ outcome at the offered terms.

SOURCES (public; accessed 8 Nov 2026)

[1] Float, homepage (products, 10K+ customers): floatfinancial.com/

[2] Float, "2025 Year in Review" (payment volume, adoption): floatfinancial.com/blog/2025-year-in-review

[3] Float, January 2026 debt facilities: floatfinancial.com/press/float-secures-close-to-100m-in-funding

[4] ISED, Key Small Business Statistics 2025: ised-isde.canada.ca/site/sme-research-statistics/en/key-small-business-statistics/key-small-business-statistics-2025

[5] Ramp, Canadian product: ramp.com/en-ca/

[6] Float Series C release (24 Jun 2026): finance.yahoo.com/small-business/articles/float-financial-raises-cad-85-223100915.html

[7] FinTech Futures, valuation (26 Jun 2026): fintechfutures.com/venture-capital-funding/float-financial-lands-60m-series-c